

CHAMPIONS ELECTRICAL AND ELECTRONIC SHOP

TITLE: BUSINESS PLAN

BUSINESS LOGO:



INSTITUTION: THE KISUMU NATIONAL POLYTECHNIC

DEPARTMENT: ELECTRICAL AND ELECTRONIC

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**PRESENTED TO: THE KENYAN NATIONAL EXAMINATION COUNCIL
IN PARTIAL FULFILMENT FOR THE AWARD IN
DIPLOMA IN ELECTRICAL AND ELECTRONICS
ENGINEERING**

SUPERVISOR NAME: MR LAMECH MISATI

SERIES:

JULY 2026

DECLARATION

I declare that, this business plan is my original work and is presented to The Kenya National Examination Council for the award of the Diploma in electrical and electronics engineering (Power Option).

STUDENT NAME: OLUOCH JOSHUA OOKO

SIGNATURE: _____

DATE: _____

SUPERVISOR: MR. LAMECH MISATI.

SIGNATURE: _____

DATE: _____

DEDICATION

I would like to dedicate this to my loving and caring parents for the financial and moral support to come up with the business enterprise.

ACKNOWLEDGEMENT

First and foremost, my sincere thank goes to Mr. LAMECH MISATI for her guidance and support throughout the course.

Secondly, I would like to send my thanks to my friends and colleagues for their guidance support and encouragement throughout the training period, thanks for your determination.

Thanks a lot, and may God bless you.

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EXECUTIVE SUMMARY

1.0 BUSINESS DESCRIPTION

CHAMPIONS ELECTRICAL AND ELECTRONIC SHOP will be sole proprietorship owned by **OLUOCH JOSHUA OOKO** located in Oyugis Town, near KCB BANK. The business will deal with general electrical accessories supply, domestic installations and repairs. The owner settled on this name as it is Electrical Shop word that originates from His name. The owner chose the business location because it is a fast-growing environment which is a hub of many other areas and also because of the place being accessible as it is situated along the highway.

2.0 MARKETING PLAN

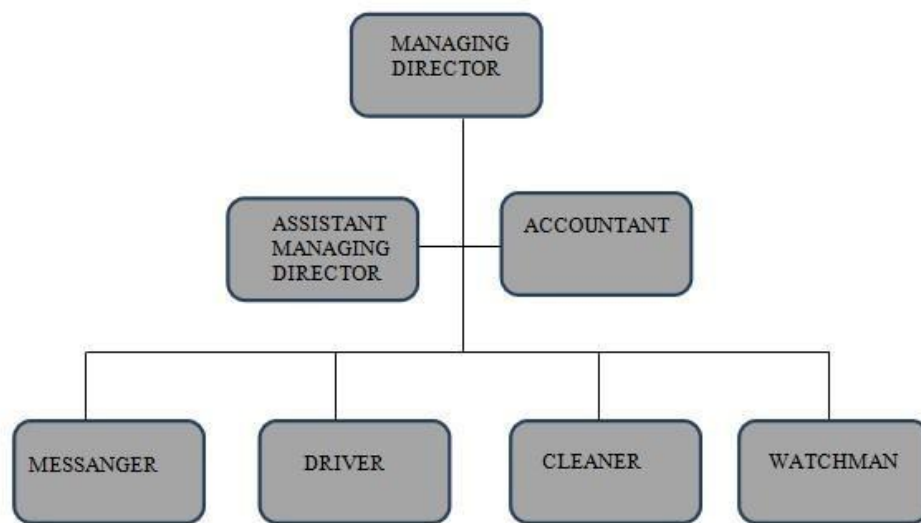
The business will serve customers from the surroundings and neighbouring areas. The intended business will face competition from local firms such as; wholesalers, retailers and local business. The business hopes to set fair prices, use tactical sales strategies and use cheap but sufficient advertising methods of promotions and offer free transport services to customers who purchase in bulk and come from around as an incentive. Posters, billboards and radio broadcast will be the methods to introduce the business to people. And use of networking by method of “tell a friend to tell a friend.” Will also open a Facebook page to introduce the business to public. The business has also identified some weakness that will take advantage on to counter their competitors.

3.0 MANAGEMENT PLAN

The owner intends to employ qualified and competitive management team which inform and inspire the business to success.

Payment of workers will be done in time to motivate them. Permit, licenses will be put in considerations which will help the business to run without any disruption from authorities.

The business will have its organizational structure as follows:



4.0 PRODUCTION PLAN

The business will use both traditional and modern technology to advance its businesses and reach many customers. The owner intends to purchase all the equipment's and accessories that required so as to improve efficiency on working.

5.0 FINANCIAL PLAN

The initial capital will be Ksh. 900,000 which will enable the business to be run efficiently. There will be also financial records which will be used to keep all records needed in the business. All transactions will be used to measure the financial strength of the business. The business will get loans from bank and youth funds. The business will also be boosted financially by family members, friends and the well-wishers also from my own savings.

CHAPTER ONE:

BUSINESS DESCRIPTION

1.0 INTRODUCTION

1.1 BACKGROUND OF THE OWNER

I am Oluoch Joshua Ooko from Homa Bay county. Am 24 years old, still a student taking diploma in Electrical and Electronics Engineering. I am single and my occupation is Electrical Engineering with four years business experience. And my home address is P.O BOX 240- 40300, Oyugis Kenya. I am currently pursuing Diploma in electrical and electronic I have experience in Business management. The type of business will be a company which means anything about the business will be upon the owner. The business will be repairing and selling of accessories. It will be dealing with both retail and wholesale. The business will be offering convenient services to customers. CHAMPIONS ELECTRICAL AND ELECTRONIC SHOP will have its goals both short term goals and long-term goals. The short-term goal will be winning good customer relations and long-term goal will be to attain and maintain about 50% of market share. OLUOCH JOSHUA OOKO will be the owner of the business as it will be a sole proprietor who is currently undertaking Diploma in electrical and electronics engineering (Power Option).

1.2 BUSINESS NAME

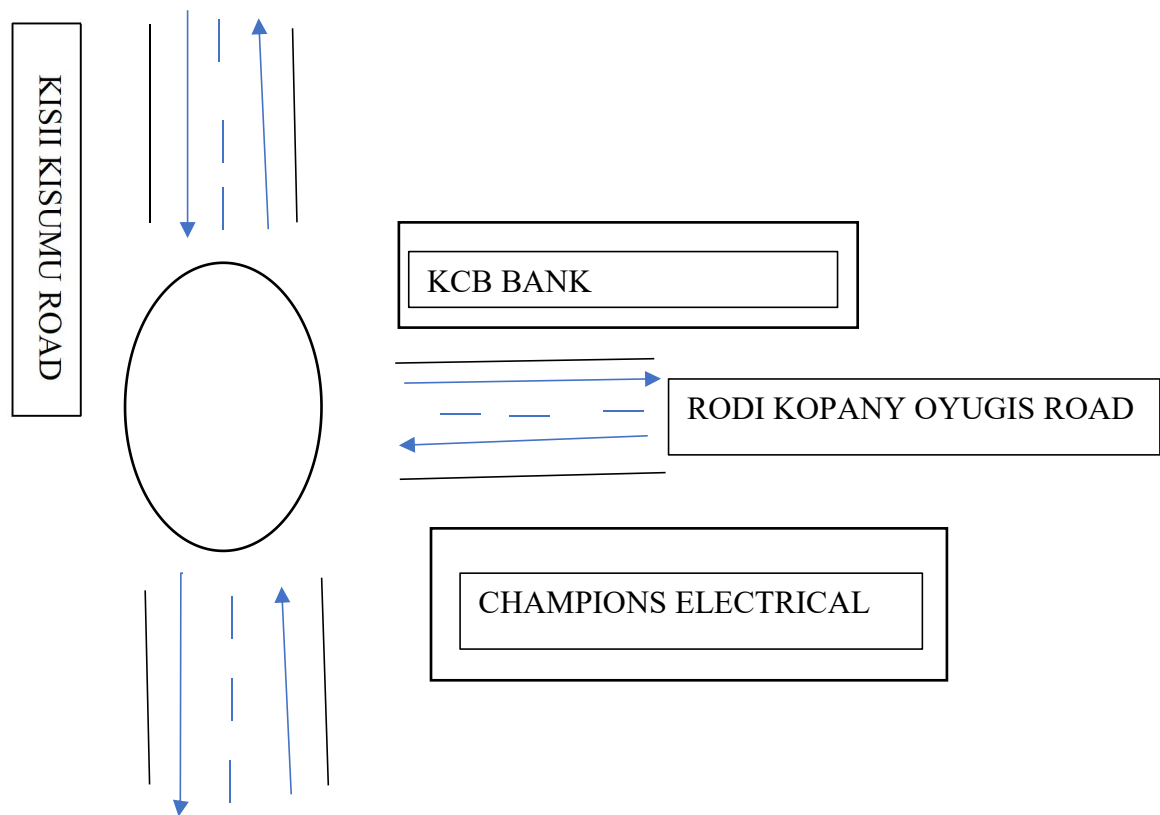
The name of the business proposed will be CHAMPIONS ELECTRICAL AND ELECTRONIC SHOP

1.3 BUSINESS LOCATION AND ADDRESS

1.3.1 Business Location

The business will be located at Oyugis Town, near KCB Bank. This location is ideal for smooth flow of goods because of good road transport network, loading and offloading, ample parking space available to customers. Hence Champions electrical and electronic shop will be the first priority and entire Oyugis town will still be under construction of the business premises, malls and hence will come for electronic services.

Map Showing Location to CHAMPIONS ELECTRICAL AND ELECTRONIC SHOP



1.3.2 Business Address

The business will be under following address.

CAHMPIONS ELECTRICAL AND ELECTRONIC SHOP

P.O BOX 240-40300

OYUGIS

Tel. 0729722811

Email: joshuaoluoch41@gmail.com

Motto: to provide quantity and quality services.

1.4 FORMS OF OWNERSHIP

Form of business ownership will be company. This means that the owner will be the one who owns the business and runs it. Hence all profits belong to owner and have unlimited responsibility for all losses and debts. therefore, being self-reliant. The owner has worked with experienced personnel in electrical field for a long time which encouraged him to venture into electric field. The experience gained from them and friends will be enough to help her start of own business.

1.5 TYPES OF BUSINESS

It is ongoing business my aim is to improve the qualities nature of the business shall be buying and selling and even stocking and repair of electrical equipment and accessories. It will be a trading type of a business whereby it will operate both retail and wholesale. The business will deal mainly with electricals that is cables, bulbs, conduits, solar panels, pipes, meter boxes, earth rods and their repairs

1.6 PRODUCTS AND SERVICES .

Products	Description
Cables	1.5mm, 2.5mm, 40mm
Sockets	Rectangle in shape square
Bulbs	Energy savor, fluorescent bulbs, rechargeable bulbs.
Conduits	20mm, 25mm, large gauge conduit
Screws	Star, flat

1.7 JUSTIFICATION OF OPPORTUNITY

High population and effective communication and transport network will be the opportunities which justifies the business to be opened. The business will justify business to open. It will be hard task to perform one duty to another, therefore the business will provide employment opportunities to a number of people earning their monthly salaries.

1.8 INDUSTRY

Example of main companies dealing in electrical and electronic are is lighting solutions.

- ❖ Tech solutions Ltd
- ❖ smarttech Ltd
- ❖ Powergon technology Ltd
- ❖ Powatt enterprice Ltd

Trends in automation. Use of artificial intelligence and machine learning hyper automation 3-no-code, automation domain-specific IT automation trends.

Trends in robotics. Use of illot integration, the rise of collaborative robots and the adoption of AI are reshaping manufacturing and production.

Trends in sensors. Future trend is to enable sensors to work automously and machine will than become self-learning

1.9 GOALS OF THE BUSINESS

Short term goals

- Winning good customer relations.
- Provide high quality products.
- Providing job opportunities to community around.

Long term goals

- At the end of 2nd year, the business aims to capture and maintain 60% of market share.
- Enlarging the market served by opening branches at various towns.
- Expanding the business premises.

1.10 ENTRY AND GROWTH STRATEGY

1.10.1 ADVERTISING

Radio adverts, Facebook page, what sup statuses and posters put all over will be the ways of advertising the business proposed.

1.10.2 PRICE PENETRATION

The business will set an affordable price to all enabling it penetrate the market.

1.10.3 PRICE CUT

There will be price cut to those buying in large amounts hence making them to come again and telling others about it.

CHAPTER TWO:

MARKETING PLAN

2.1 INTRODUCTION

The business will ensure continuous flow of high-quality goods and products. This will attract more customers making business grow to the next level because of large amounts of sales

The Electronic Shop management team will ensure fast and quality services to the customers. By the end of 5th year the business will ensure about 50% of the market share from the region. Also, during the same period of time, the business will have increased the provision of sales and services therefore the profits will have increased when the sales and services are maintained.

The business will use various methods to promote the business and advertising, the use of media, friends and posters.

2.2 CUSTOMERS

Customers	Specification	Population

Wholesalers	4-wall mart. Quick mat	40000
Schools	2-high school	20000
	3-primary school	15000
Churches	5 Shirikisho catholic church	10000

1.3 Market share

Before penetration

	OWILA HARDWARE	OTIENO'S SELECTRO	TOTALS
Sales	50000	30000	80000
Market share	62.5%	37.5%	100%

After penetration

	PETER HARDWARE	OTIENO COMPANY BRIAN	Champions electrical shop	Total
Sales	40000	25000	15000	80000
Market shares	50%	31.25%	18.75%	80000

Wholesalers

They include those who buy goods in large amounts in order to sale them to their customers in their areas.

Their characteristics are:

- They have a big source of income obtained from their own investments and high profits obtained from their own business.

- Most of them shall be literate and with long enterprise skills in them.
- Their age group will fall between 20-70 years
- They will be both men and women in their businesses. **Commercial customers**

Their characteristics are:

- Buy goods in bulky.
- Have source of income from their businesses and profits.
- Will be both male and female to their businesses.
- Their age group will be between 25-60 years.

Institutional customers

These will be any educational, religious or social organization such as school, church, nursing home, hospital, correctional facility.

Their characteristics:

- They will buy in large quantities.
- Have a purpose of buying.
- Have source of income from their own organizations like fees collected.

Individual customers

Customer defined as ordinary or natural person.

They have the following characteristics:

- Eager for solutions.
- Age group will be 18-65 years.
- Will be both men and female.
- Have incomes from daily to daily activities.

Government

This will be any officer or employee of a government or any department, agency or instrumentality of the government.

Their characteristics:

- Buy in large quantities
- Pay with cheques not cash.

- Look for quality products and services.
- Get incomes from taxes, court bonds, business permits, and interest from loans.

2.4 COMPETITION

The major competitors will be PETER Hardware located at RAGAMA ESTATE which is 400m away, Otieno's electronics located at 500m from Oyugis Town. Rodi Oyugis road business proposed, will be medium in size same to that of Otieno's electronics but smaller in size to PETER hardware. CHAMPIONS ELECTRICAL will ensure their products are of high quality compared to those of competitors. Weakness of business competition will be added advantage to the business to gain more strength.

SWOT analysis table

BUSINESS	STRENGTH	WEAKNESS	OPPORTUNITY	THREATS
Joshua hardware	Use sophisticated advertising means. Good reputation. Good customer services.	Fixed prices hence no negotiations.	E-commerce store owner.	Tight labour supply.
Otieno's electronics	Offer cheap price due to counterfeit goods.	Sales only in bulky. Offers counterfeit poor quality	Freelance business.	Politics.
Smart home electrical company	Offers transportation services. Good transport system. Offers quality products and good services.	Price not fixed hence negotiable.	Cut tariffs and consultant.	Increasing competition.

2.5 METHODS OF PROMOTION AND ADVERTISING

The business name, location and what it offers will be advertised through radio stations, viewed on T.V adverts, created Facebook page, posters and billboards. The advertisement will be done on daily basis which will cost 1,000 monthlies on radio and 1,500 for T. Vs and posters will be renewed after every three months for a cost of 2,000 shillings. Also, any promotion about the business will be through posters and business cards. The business will be offering discounts to those who buy in bulky and also offer credit to our able customers and will be the one way of promotion.

2.6 SALES TACTICS

The products and services will be sold directly to customers as they come order and goods given to them. The business will contact interview in order to recruit its salesperson. Those who will have passed their interview will be taken through teaching on how they will be conducting /performing their duties. The owner will ensure that the salesmen are retained by setting allowances to them and also, they will get paid for the overtime after normal time. Owner of the business together with his team intends to cover the Racecourse community at large and its neighbouring centers.

2.7 DISTRIBUTION STRATEGY

The business intends to use direct sale to customers as a channel of distribution. Because of good road network, the business will be using road transport as a means of transportation of goods from one point to another. The problem the business will anticipate during transportation includes jam, car breakdown and maybe accidents. Therefore to overcome the problems, the business will ensure that the car will be always repaired, avoid routes with a lot of jam to ensure goods reach at given time without delay and to avoid accidents which leads to lose of goods through theft, the driver has to be careful and sober all the time. The cost of transport will be the fuel the vehicle will be consuming and also the repair. The business will intend to expand its distribution channel by increasing the number of vehicles used in transportation.

CHAPTER THREE:

MANAGEMENT PLAN

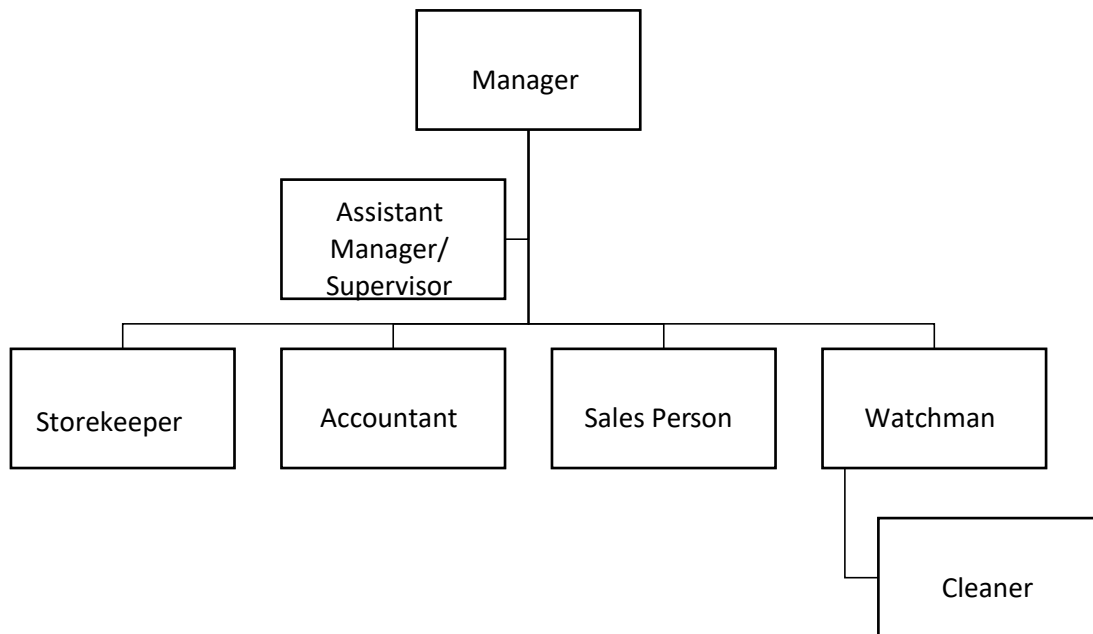
3.1 INTRODUCTION

Proposed business will be coordinated by a number of personnel's whereby the business owner will be the manager. The manager will be in charge of everything to ensure everything runs as expected. The manager will have a supervisor who will be in charge of other stuff and to raise any matters affecting them. Salary payment will be done on a monthly basis and each of them will be paid according to the service he/she delivers.

Business owner will work on business permits, licenses and insurance to make sure the operations will be carried smoothly without disturbances from concerned authorities.

3.2 ORGANIZATIONAL STRUCTURE

The following structure shows the organizational structure.



3.3 KEY MANAGEMENT PERSONNEL

THE MANAGER

Qualifications

- Currently pursuing Diploma in electrical and electronics engineering (Power Option).
- Have both management, accounting and entrepreneurial skills.
- Has a four-year experience as a store keeper?

Responsibilities

- Handling office operations, functions of the business and this is through coordination.
- Initiate policies pertaining the business.
- Performing all the management duties of planning, organizing etc.
- Carry out marketing.
- Recruitment of employees.

SUPERVISOR

Qualifications

- Have entrepreneurial skills.
- Has 3 years working experience as a supervisor.

Responsibilities

- Supervise the entire business work.
- Ensures employees operate and adhere to the terms and the regulations of the organization.

ACCOUNTANT

Qualifications

- Has a working experience as an accountant clerk.
- A holder of KATC final DIPLOMA.
- Pursuing a C.P.A examination.

Responsibilities

- Organizing of the creditors and bankers statement. • Processing of payments and financial information.
- Control of patting cash and bank statements.
- Keeping and safeguarding the business books of accounts.

SECRETARY

Qualifications

- A holder of K.A.M.E final exam
- Fluent in English and Regional language

Responsibilities

Keep master role.

Attend to all calls in the business.

3.4 OTHER BUSINESSES PERSONEL

STORE KEEPER

Qualifications

- Must be a person of high integrity and inter-personal skills.
- Have at least 3 years working experience.
- A holder in DIPLOMA in supplies and procurement management.

Responsibilities

- To place stock orders as per record • Control the stock received and stock taken.
- Keep stock records.

SALES PERSON

Qualifications

- Good communication skills.
- Good customer care relationship.
- Holder of sales and marketing Diploma.

Responsibilities

- Sales goods to customers
- Look for good market for the goods.
- Advertise and persuade potential customers.
- Arrangement of items on their respective shelves.

3.5 RECRUITMENT, TRAINING AND PROMOTION OF PERSONEL

Recruitment of employees of the business will be done by the manager himself or any vacant post will be advertised to the general public by the use of posters. For those who meet the qualifications and requirements will be expected to submit their application letters to the manager attaching all the necessary documents including their curriculum vitae. The manager will then scrutinize the application letters and then shortlist those who qualify for an interview and later placed on jobs and orientation done by the other employees. The employees will be promoted by giving them a leave of three days with a full month salary. Also, their NSSF and NHIF will be played without deducting their salaries. The employees will be rewarded according to their hard work. The method of separation of employees to the business will be either by being fired, individual decision or even death.

3.6 REMUNERATION AND INCENTIVES

POSITION	NO	BASIC SALARY PER MONTH	ALLOWANCES (MEDICAL)PER YEAR	BONUSES PER MONTH
MANAGER	1	30,000	5,000	2000
SUPERVISOR	1	20,000	3,600	1000
ACCOUNTANT	1	15,000	2,000	700
SECRETARY	1	12,000	2,000	650
STORE KEEPER	1	10,000	1,000	500
SALES PERSON	2	7000 x 2	1,000 * 2	400 *2
DRIVER	1	6500	1,000 * 2	400
INSTALLATION PERSONEL	3	5500*3	1,500 *3	600*3
WATCHMAN	1	4,500	1,000	400
TOTAL	13	254,000	22,000	7,650

3.7 LICENSES, PERMITS AND BY-LAWS

As per the local government act by-laws requires a business to have trade permit from Siaya County Council. The business will then acquire its license from NEEMA which both will have to be renewed yearly.

3.8 OTHER BUSINESS SERVICES

The business will equally require outside support services especially from experiences and professionalism.

Banking services

The business will open an account at KCB bank group will be depositedly its money and also the bank will boost the business financial.

Insurance services

The business will get its insurance from AMACO at a cost of Ksh 20,000/- annually. The business will also insure its employees lives by getting them an insurance from Brittam at a cost of Ksh 1500/- annually

Security services

To ensure security the business will go after services of SEAL group of security. The business will have to install camera security and alarm. The SEAL group security will demand a sum of Ksh 50000

CHAPTER FOUR: PRODUCTION PLAN

4.1 INTRODUCTION

The production and operational activities of the proposed business will require use of certain tools, machinery and equipment's. Proposed business will have to use a number of materials for monthly basis for its production e.g. ream papers and other stationeries.

There will be factors both external and internal which will be affecting the business production process which could be competition, politics, staffing, company culture of which the business will look for ways to overcome them.

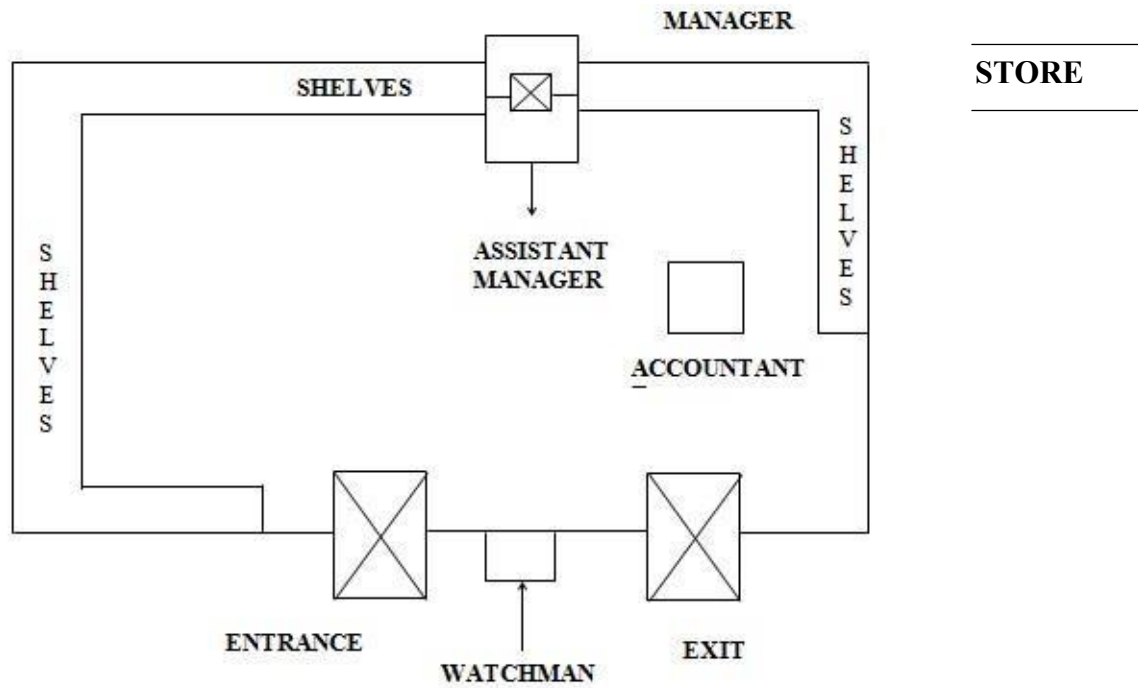
4.2 PRODUCTION FACILITIES AND CAPACITY

The proposed business will be able to use a number of tools, machinery and equipment's for its production and operation activities. These will include the following:

Items	Quantity	Cost	Capacity	Management cost
Office	2	40000	10 people	20000
Store	1	20000		15000
Workshop	1	60000	15 people	30000
Truck	2	1500000	30 tones	70000
Computer	3	100000		50000
Furniture	15	50000	15 people	20000
Total	24	1,770,000		205,0000

The tools, machinery and equipment's to be purchased will be supplied immediately the proposed business starts its operation.

4.3The Business Layout will be as follows:-



4.4 Production process

Products	Price	Quantity	Total
Sockets	100	100	10000
Pliers	350	50	17000
Tape measure	150	100	15000
Circuit breaker	200	400	80000
Screw driver	200	150	30000
Electric drill bulbs	50	4000	200000
Bulbs	150	50	75000
Wire 1.5	100	300m	30000
2.5	150	300m	45000
4.0	200	200m	40000
Total	1650		475000

The business will use various production steps on its products

Step 1: product concept, at this step the business begins to flesh out basic idea and thinking how its product will be and who will be its users.

Step 2: Research, in this step the owner researches if the products solves a problem. If yes it solves a problem then a lot of people will be after it. Also, the owner researches if there are similar products already existing in the market. If they exist then the business has to create a way to ensure it improves on its products to attract more customers.

Step 3: Product design development, the owner has a firm idea of the products function and how strong and long lasting they will be. Also, the business considers the cost of the products and if it allows room for profit without a price that will put buyers off.

Step 4: Final product, after doing all that and ensuring the product has what the business needs, then it's time to turn attention to marketing and this will be where products get into hands of customers. The more the business will sell, the more they order larger batches hence making of a larger profit.

The business may experience both external and internal factors that can affect the production process.

External factors

- Shortage of materials sometimes.
- Government legislations.
- Power/water rationing failure.
- Completions from similar firm.
- Competition from other businesses.

Internal factors

- Staffing.
- Money and resources.
- Company culture.
- Current technology.

To overcome the internal factors of production, the business will ensure that:

- The employees cope up and adhere to business cultures.
- There is good relation between staffs hence interacting well at work

- The owner will ensure that the business will never run out of funds by ensuring they save more as they could for future utilization.

Also, to minimize the impact of external factors, the business will ensure that:

- They have a lot of stock to make sure they don't run out of supply.
- They adhere to government legislation like paying of taxes and having business permits for ensuring no disruption from authorities during production process.
- They set fair prices than their competitors for them to gain more customers.

4.5 Maintenance

The owner tends to carry out maintainers at in the following manor so that he doesn't interrupt with the business the office workshop, furniture's. maintenance will be done at end of 2month while the truck it maintenance will be done on weekly basis.

Health regulation

The act of health concerns the population of public health and lays down rules tp among other things food hygiene and protection of food staff keep of animals' protection of public water suppliers' prevention and destruction of mosquito and abdominal nausea 's

4.7 Act of Environmental

To provide for establishment of the National Environment Council National Environment Management Authority National Environment Trust fund Environment restriction fund the standard and enforcement review committee and national environment.

4.8 Act of safety

Outline the responsibilities of employee and contraction in providing a safe healthy working environment. It emphasized the importance of risk assessment hazard identification implementation of necessary control measures to prevent workplace.

4.9 Act of labor law

Consolidates the law relating to trade unions employer organization and trade dispute. It also provides registration regulation management of trade union and employers organizations

CHAPTER FIVE

FINANCIAL PLAN

5.1 Pre-Operational Cost

These are the expenses incurred before start of the business operation.

ITEM	COST
Prepaid rent	30000
Permits	5000
Electricity bills	1500
Stationary	3000
Water	1200
TOTAL	40700

5.2 Working Capital

Working Capital = Total Current Assets – Total Current Liabilities

ITEM	YEAR 1
Current Assets	
Stock	30000
Debtors	80000
Cash in bank	50000
Cash in hand	654400
Total Current Assets	160000
Current Liabilities	

Creditor	100000
Short term loans	200000
Total Current Liabilities	300000
Working Capital	460000

Projected cash flow statement

Meridian surveying and consulting

projected cash flow as from January 2023-2024 December

Net Cash Flow = Total Cash Inflow – Cash Outflow

ITEM	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC
Cash inflow	20000 0	25000 0	32000 0	3500 00	40000 0	4500 00	500000	5600 00	650000	70000 0	8000 00	890000
Cash outflow												
Purchase	25500	28600 0	32000	3800 0	40000	4200 0	36000	4500 0	46000	48000	5000 0	60000
Salaries	40000	40000	40000	4000 0	40000	4000 0	40000	4000 0	40000	40000	4000 0	40000
Rent	15000	15000	15000	1500 0	15000	1500 0	15000	1500 0	15000	15000	1500 0	15000
Electricity	3000	3200	35000	3800	3600	4000	4200	4500	5000	5200	5400	6000
Water	12000	1500	1800	2500	2600	2400	3000	3300	3500	3200	4000	4500
Total	84,700	88300	56300	6300 0	10120 0	6740 0	62200	1078 00	109500	11145 0	11440 0	125500
Net cash flow	115,30 0	16170 0	26370 0	2867 00	29880 0	3826 00	437800	5425 00	540500	58855 0	6856 00	764500

5

.4 Proforma Income Statement

Elite surveying and consulting

Proforma income statement as from January 2024-2025December

ITEM	
Sales	9104000
Cost of services	4320000
Gross Profit	4784000
EXPENSES	
Salaries	2342400
Rent	768000
Electricity	19200
Water	23040
Advertisement	192000
Stationery	28800
License	211200
Maintenance	200000
Telephone	38400
Insurance	32000
Total expenses	3675040
Net Profit before tax	1108960
Taxation 16%	177433.60
Net profit after tax	845126.40

.5 PROFORMA BALANCE SHEET

Elite surveying and consulting

Proforma balance sheet as from 1st 2024-2025

ITEM	YEAR 1
FIXED ASSETS	
Survey equipment	176000
Furniture	108800
Vehicles	108990
Total Fixed Assets	1374704
CURRENT ASSETS	
Stock	40000
Debtors	80000
Cash at bank	654400
Cash in hand	1600022.40
Total Current Assets	2374422.40
TOTAL ASSETS	3749126.40
CURRENT LIABILITIES	
Creditors	104000
Short Term Loan	
Total Current Liabilities	
LONG TERM LIABILITIES	
Owners' Equity	
Long Term Loan	
Total Long-term Liabilities	
TOTAL LIABILITIES	

5

NET PROFIT
Total (Net Profit – Liabilities)

.6 BREAK-EVEN POINT

Determination of fixed cost

FIXED COST	YEAR 1
Salaries	2342400
Rent	768000
License	2112000
Insurance	32000
TOTAL	3353600

Determination of Variable Cost

VARIABLE COST	YEAR 1
Electricity	19200
Water	23040
Advertisement	192000
Stationery	28800
Maintenance	200000
Telephone	38400
Total	501440

5

Calculation of break-even point Break-

even = fixed cost/contribution margin

Contribution margin = contribution/sales

Contribution = sales – variable cost

1st Year

Contribution = 9104000 – 501440

= 8602560

$$\text{Contribution margin} = \frac{8602560}{9104000}$$

$$= 0.94$$

$$\text{Breakeven Point} = \frac{3353600}{0.94}$$

$$= 35676.60$$

5.7 Calculation of Profitability Ratio

Gross Profit Percentage

$$\% \text{ G.P.} = (\text{Gross Profit/Sales}) \times 100\%$$

1st Year

$$\% \text{ G.P.} = \left(\frac{4784000}{9104000} \right) \times 100$$

$$= 52.55\%$$

APPENDIX I

CRITICAL RISKS

The risks expected to be encountered during the operation of the business include the following:

- Over taxation in the in the region may affect the operational budget of the enterprise
 - Presence of attackers in the region such as Al-shabaabs may threaten and scare the customers and daily operation of the enterprise
 - In case of any fire-outbreak, most of the facilities used to run the enterprise may be damage hence affecting the enterprise negatively.
 - Presence of corruption by some of the members may affect the business negatively • Theft of the existing stock may also affect the operational activities of the business
- The mitigation to be used during the operation of the business includes the following:

- ❖ Insurance cover
- ❖ Prudence management and adherence to corporate
- ❖ Maintain enough working capital
- ❖ Develop risk management plan.

APPENDIX 11

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